

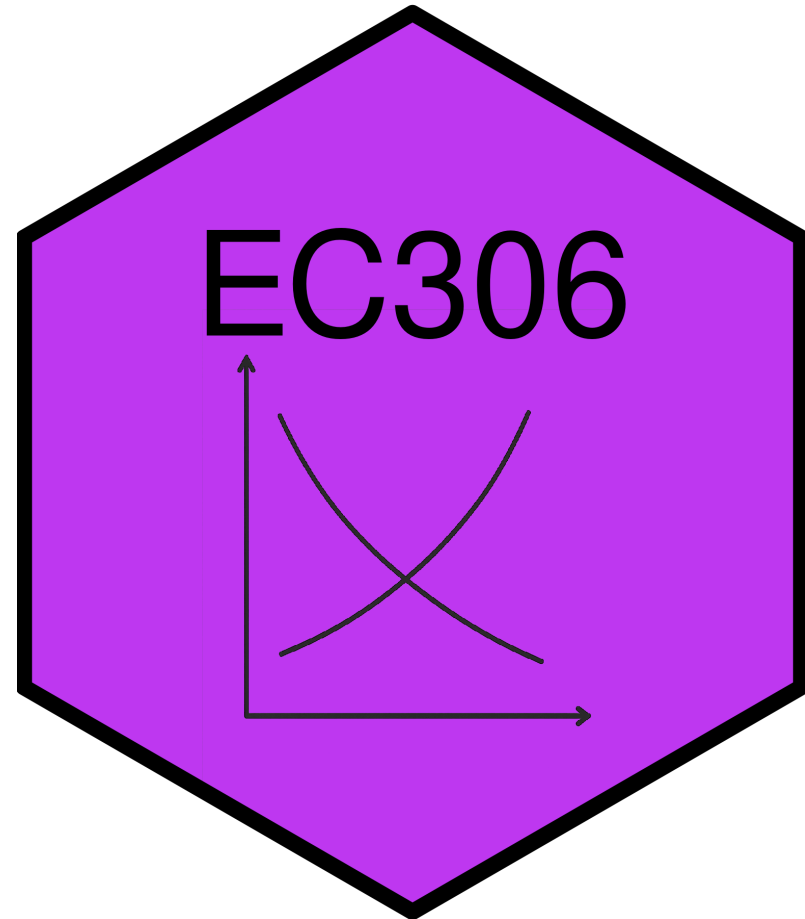
Labour Supply

EC306- Wages and Employment

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Goals of This Section

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In this section we will:

- Build market labour supply from individual choices
- Build the labour supply model and derive the supply curve
- Look at evidence on how responsive labour supply is to wages
- Apply the model to situations workers face

Supply in the Labour Market

Why We Supply Labour

- Almost everything we enjoy as consumers has to be bought
 - Consuming goods and services requires income
 - For most people, income requires a job
- So labour supply is **derived** from wanting to consume
 - We sell labour services to get the income that pays for consumption
- The basic model assumes **work itself yields no utility**
 - Utility comes only from what the wage lets you buy
- Not literally true, but it keeps the first model clean

Leisure and Nonmarket Time

! Key Definition

Nonmarket time: all time not sold to an employer — not just fun, but chores, cooking, cleaning, education, and other unpaid production

- We will say **leisure** as shorthand for all of it
 - The phrasing goes back to Robbins (1930) and stuck in the literature
 - Worth flagging, because “leisure” makes it sound like the beach
- Time is limited, so leisure is never free
- Every hour of leisure is an hour not earning
 - The **opportunity cost** of leisure is the wage

Two Decisions

- Labour supply is really two separate choices

Note

- **Extensive margin:** whether to work at all
 - **Intensive margin:** how many hours, once you do
-
- The extensive margin is governed by the **reservation wage**
 - The lowest wage that gets you to work even a small amount
 - The intensive margin is not so tidy
 - A higher wage pulls hours in two opposing directions
 - Theory alone cannot say which one wins

From Individual to Market Supply

- Every individual has their own labour supply curve
- To get the market, we add them up
- Focus on a **homogeneous group** of workers
 - Same skills and effort offered to employers
 - Keeps us comparing like with like
- At each wage, sum the hours all potential employees will supply

Key Definition

Market labour supply curve: the total hours all potential workers are willing to supply at each wage rate

Building a Market Supply Curve

- Survey two typical students, Robin and Sam, in a neighbourhood of 10,000
- Take each to represent 5,000 students

Wage	Hours per week			Market (×5,000)
	Robin	Sam	Combined	
\$10	4	10	14	70,000
\$20	15	25	40	200,000
\$30	25	35	60	300,000
\$40	30	40	70	350,000
\$50	33	43	76	380,000

- Both individuals slope up, so the market curve does too

Labour Supply Model

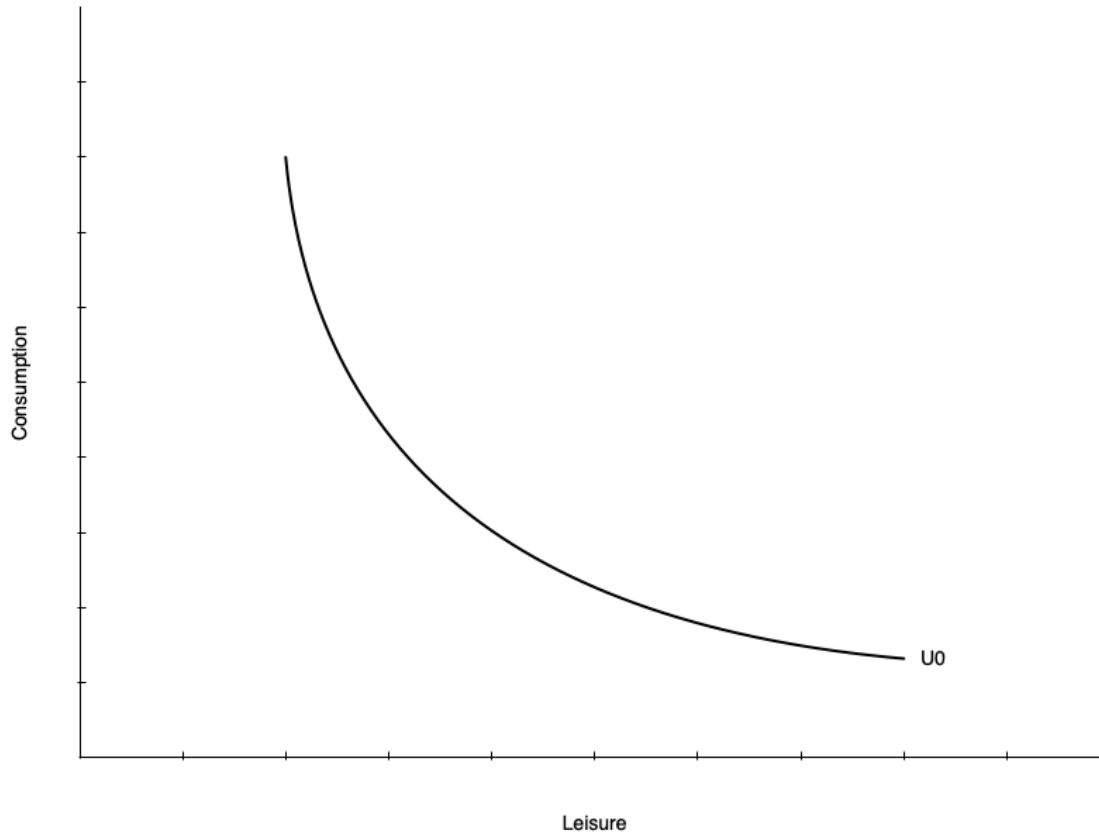
Introduction

- In this section we introduce a model we use throughout the course
- The model helps us understand how individuals make decisions about work
- Based on utility maximization as you saw in EC270
- Individual choose between two goods
 - Consumption of goods and services
 - Leisure
- Choices are constrained by time, wage rate, and non-labour income
- There are a few wrinkles that make this market unique

Preferences

- Individuals have preferences over consumption (C) and leisure (L)
 - People like consuming goods and services
 - Also like having non-work time
 - Includes fun activities but also non-work tasks like chores, education, etc.
- The tradeoffs people are willing to make between C and L are represented by indifference curves
 - At every point along the curve the individual is equally happy
 - Curves further from the origin represent higher levels of utility

Preferences



- On the left is a single indifference curve
- Any point represents equal utility (U_0)

! Key Definition

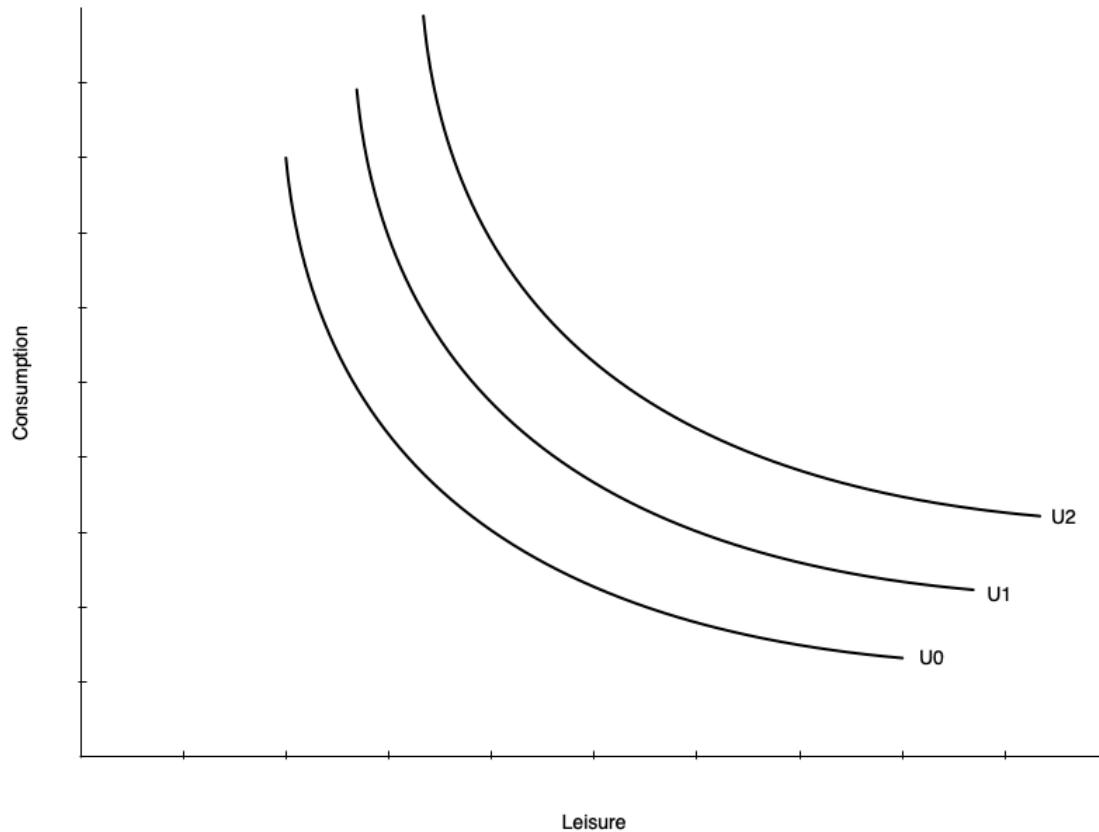
Marginal Rate of Substitution (MRS): the rate at which a person is willing to trade consumption for leisure while remaining equally happy

- The MRS is the slope of the indifference curve at a point
- Individuals have **diminishing MRS**
 - Willing to give up less consumption for additional leisure the more leisure they already have
 - Slope gets shallower with more leisure

Preferences

- Indifference curves do not have to be smooth curves like the one shown
- Could be straight lines
 - Means the tradeoff between consumption and leisure is constant
 - Willingness to trade away leisure for consumption does not depend on leisure
- Could be “L” shaped
 - Consumption and leisure must be consumed in fixed proportions
- Mostly we will deal with smooth preferences

Preferences



- Utility increases with curves further from the origin
 - $U_2 > U_1 > U_0$

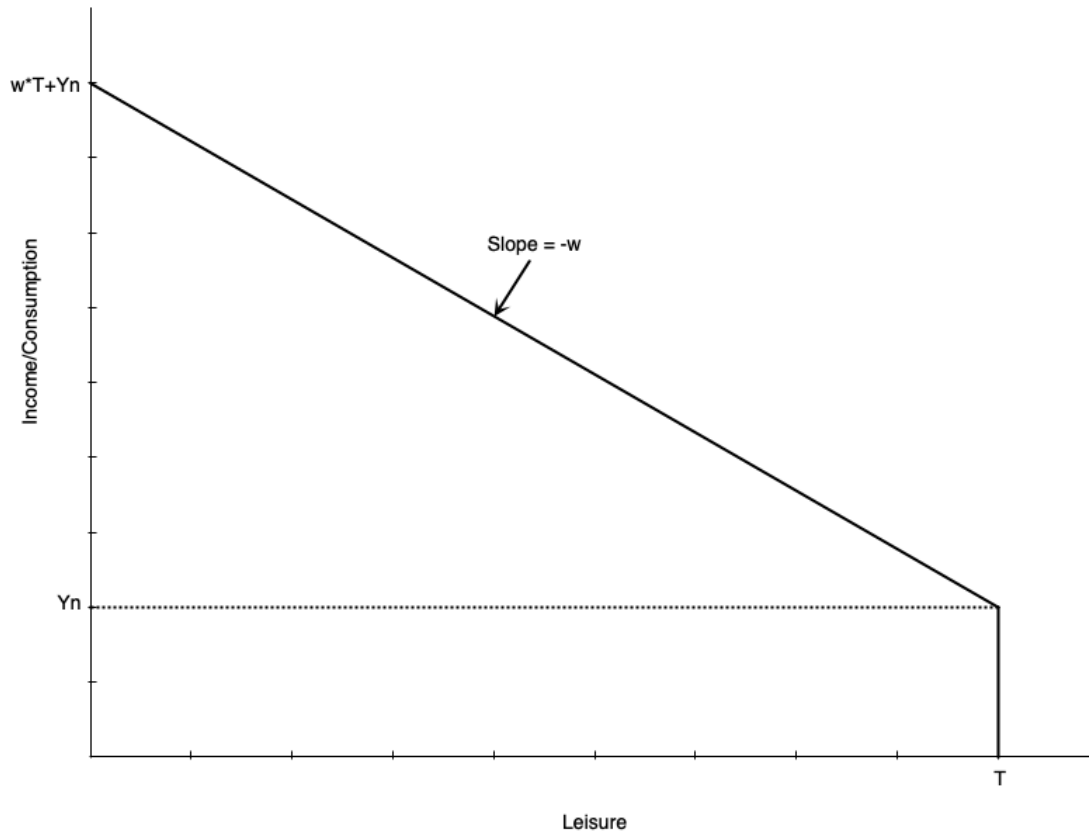
Preferences

- We cannot compare **utility levels** across two people
 - Nothing says A's U_1 is more happiness than B's U_1
- We can compare the **MRS** at the same bundle
- Take one consumption-leisure bundle J and hand it to individual A and individual B
 - A's curve is steeper through J , so A has the higher MRS there
 - A values an extra hour of leisure more than B does at that point
- Moving A from L_0 to L_1 takes more consumption than moving B the same distance
- This is how **differing tastes for leisure** get into the model
 - Whatever makes non-work time valuable, like unpaid work at home, shows up in the MRS

Constraints

- Individuals do not choose consumption and leisure bundles on preference alone
- They are constrained by their **budget**
- The budget is determined by
 - The wage rate
 - Total number of hours available
 - Non-labour income
- **Budget constraint** is also called
 - Potential income constraint
 - Full income constraint

Constraints



- Graph shows a linear **budget constraint**
- Assume no saving, so consumption = income
- There are T total hours to allocate to work or leisure
- Individual earns Y_n **non-labour income**
 - Earned even with zero work hours (full leisure hours)
- Each hour worked gets wage of w
- Person working T hours (no leisure) earns $wT + Y_n$ income
 - Called "**full income**"

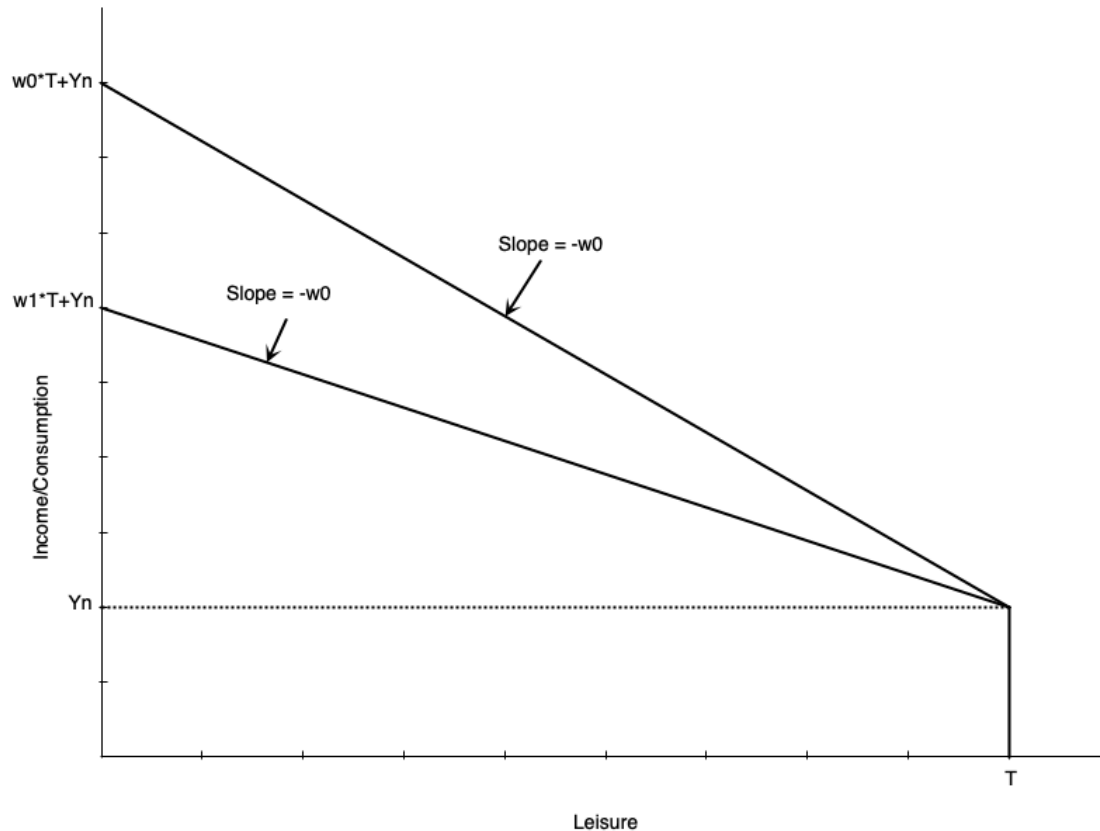
Constraints

- Mathematically, the **budget constraint** is

$$C = w(T - L) + Y_n$$

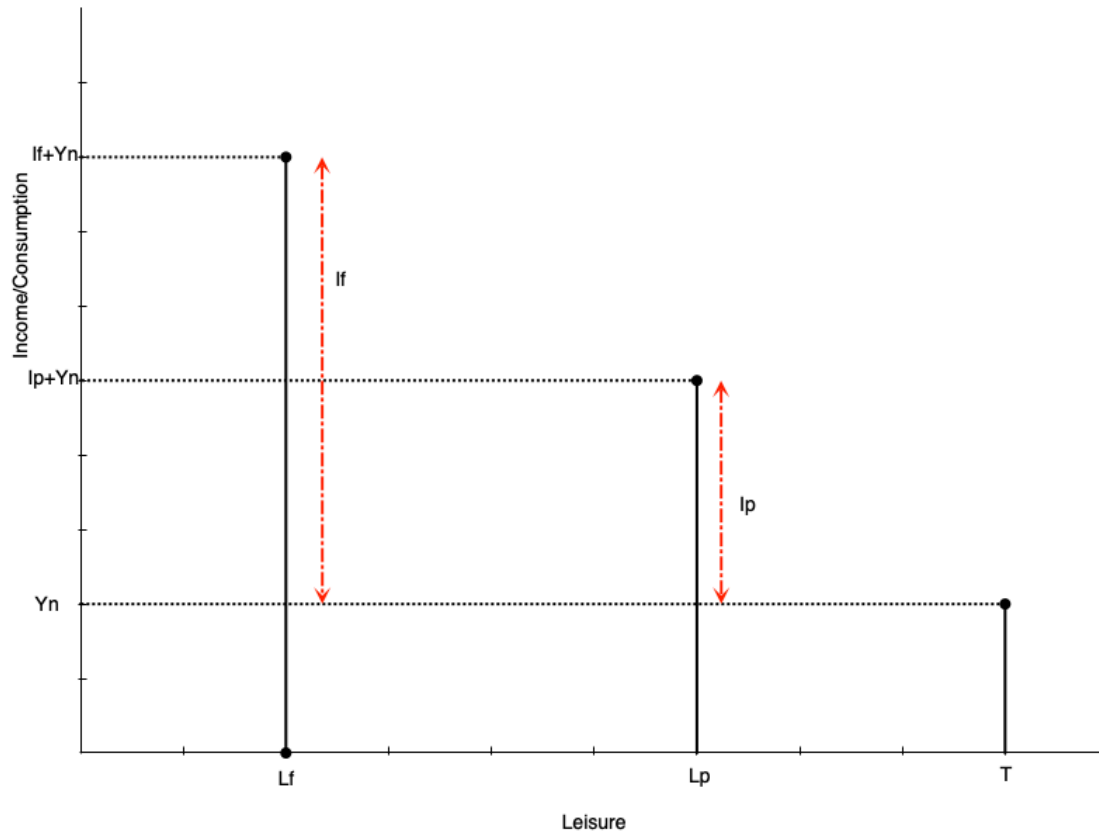
- Consumption is equal to income from working ($w(T - L)$) plus non-labour income (Y_n)
- The slope of the budget constraint is $-w$
 - The **opportunity cost** of leisure is the wage rate
 - Each hour of leisure means one less hour worked, which means w less income
- Someone who works zero hours has T leisure hours and Y_n consumption
- Someone who works T hours has zero leisure hours and $wT + Y_n$ consumption

Constraints



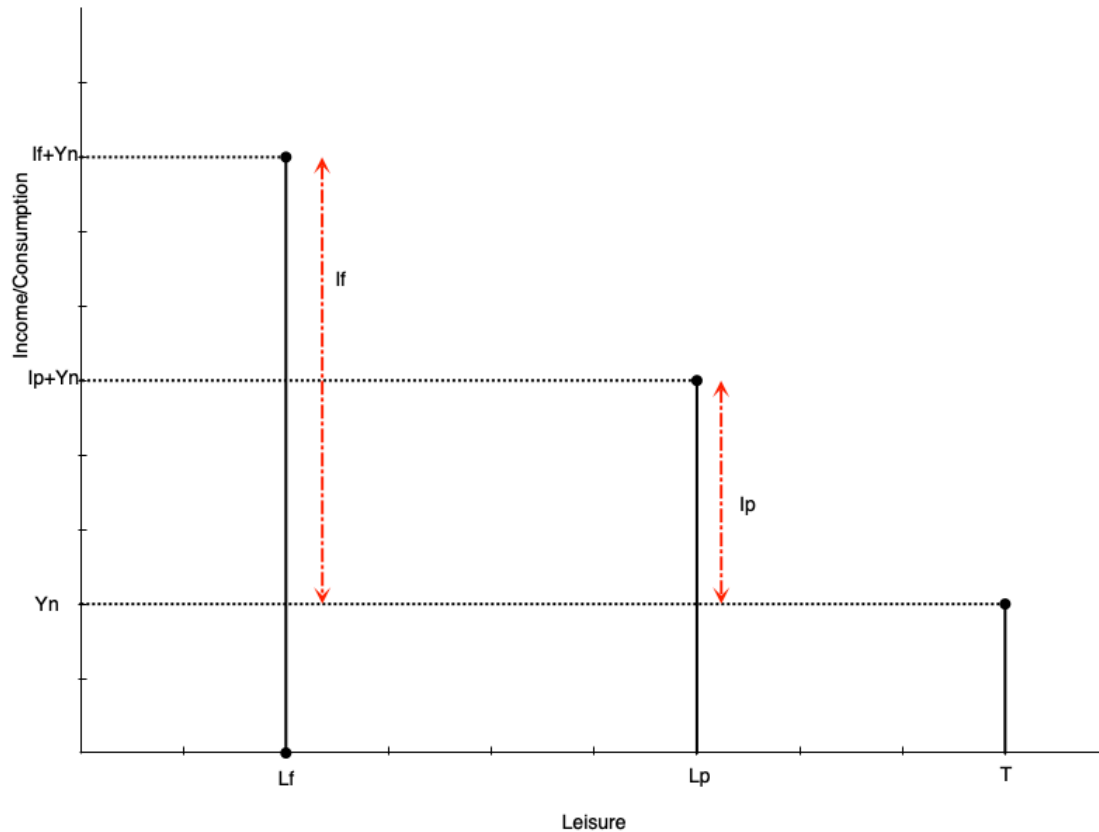
- Slope is the negative of the wage rate w
- A lower wage means shallower slope
 - If $w_1 < w_0$, the budget line swivels down
 - They intersect at leisure = T because there are no work hours
- Lower wage also means **full income is lower**
 - Working all hours leads to less total labour earnings

Constraints



- Often people cannot adjust their work hours freely
- They may only be able to work full time or part time
- Budget constraint is no longer a line, but a set of points
- Suppose an individual chooses **part time work**
 - Work hours are $h_p = T - L_p$
 - Labour earnings are $I_p = w * h_p$
 - Total consumption (and income) is $C_p = I_p + Y_n$

Constraints



- A person working **full time hours**
 - Work hours are $h_f = T - L_f$
 - Labour earnings are $I_f = w * h_f$
 - Total consumption (and income) is $C_f = I_f + Y_n$
- In theory wage could also be different for full time work

Constraints

- The potential income constraint does not have to be a straight line
- A straight line assumes every extra hour pays the same w
- That fails for the **self-employed** — think of a doctor or a lawyer
 - They sell the output they produce, not their hours
 - Income is a function of hours worked, $I = F(h)$
- Past some point they run into **diminishing marginal productivity**
 - Each extra hour adds less output than the one before it
 - So the constraint curves, flattening out as work hours rise
- The wage here is what the market pays for an hour's worth of what they produce
- Nothing about the model changes — the optimum is still a tangency
 - It is only harder to work with algebraically

Consumer Optimum

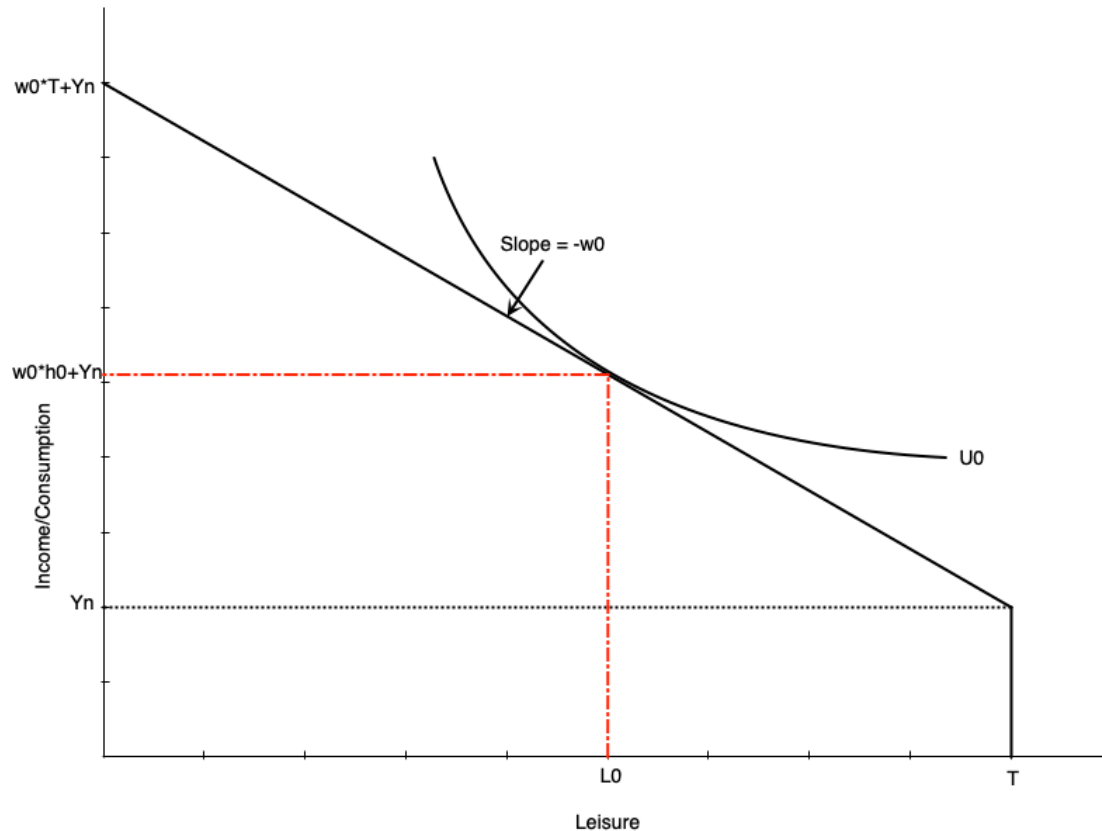
- Work hours are chosen using the combination of preferences and constraints
- The **consumer optimum** is the point that maximizes utility subject to the budget constraint
- The optimum occurs where the budget constraint is tangent to an indifference curve

Note

There are two possibilities for the optimum:

- **Non-participation:** optimum occurs at the end of the budget constraint (full leisure) — a **corner solution**
 - **Participation:** optimum occurs at an interior point (some leisure, some work) — an **interior solution**
- Model also defines the **reservation wage**
 - Lowest wage rate at which a person will choose to work

Consumer Optimum



- Graph shows an optimum with participation
- Optimum is where indifference curve is tangent to budget constraint

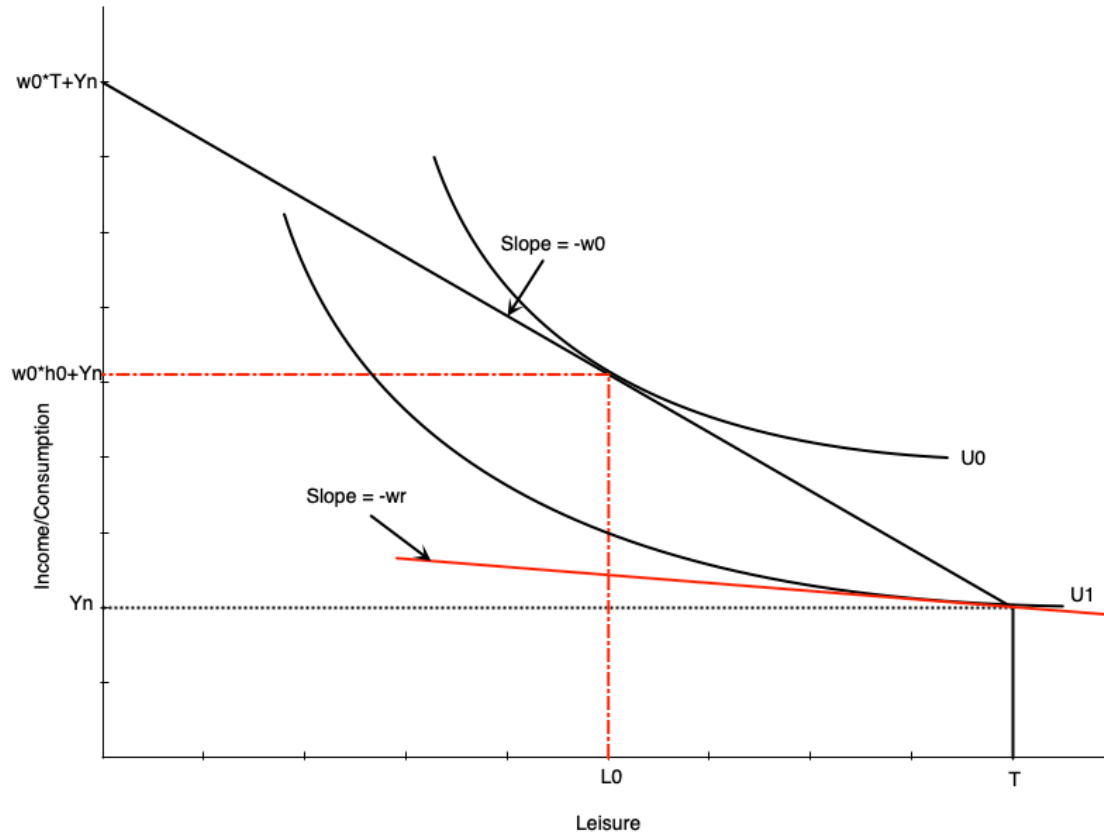


Tip

At the optimum, **MRS = wage rate**

- Willingness to trade leisure for consumption (MRS) equals ability to trade them (wage)
- Optimal work hours are $h_0 = T - L_0$
- Optimal consumption is $C_0 = W_0 h_0 + Y_n$

Consumer Optimum

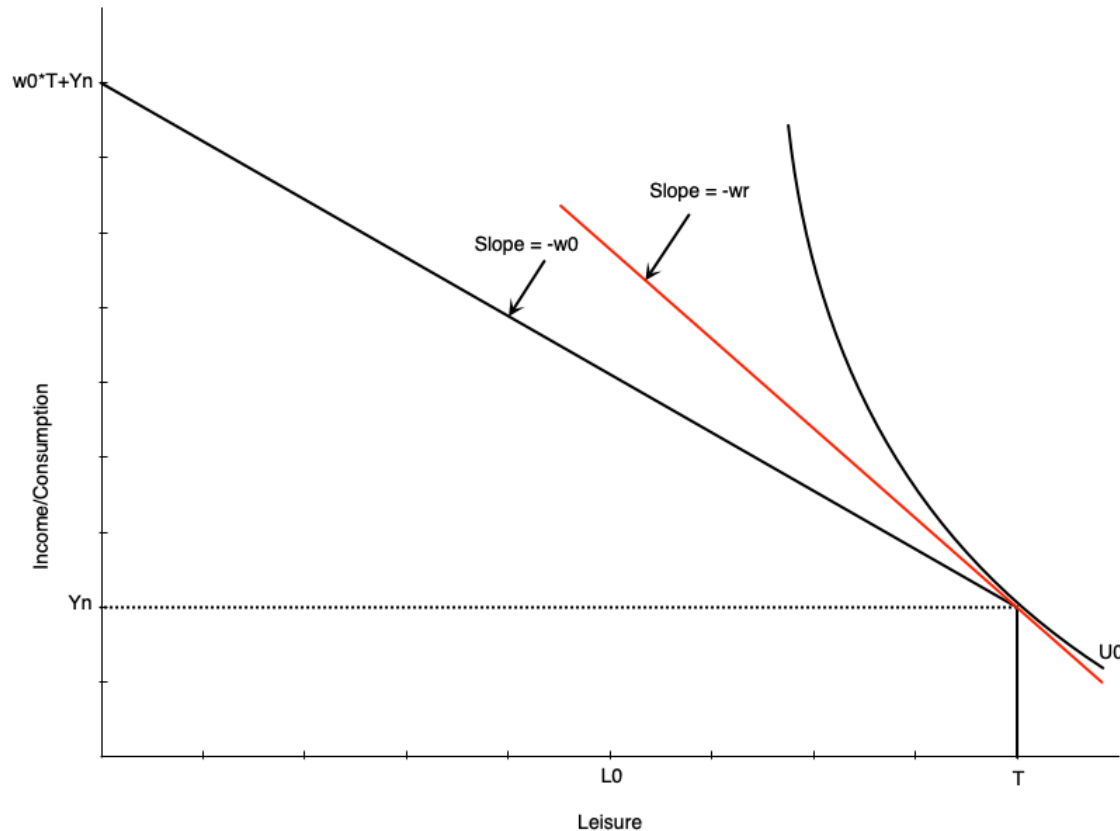


! Key Definition

Reservation wage: the lowest wage at which a person will choose to work

- It occurs where the budget constraint is tangent to the indifference curve at full leisure
 - At that point, $MRS = \text{reservation wage}$
- If the wage is any lower, the person will **choose not to work**
- If it is any higher, they will **work positive hours**
- The red line shows the hypothetical reservation wage
 - In this case, it is w_r

Consumer Optimum



- Graph to the left shows a **non-participation** optimum
- The slope of the indifference curve is steeper than the budget constraint at full leisure
 - The extra consumption you want from one less hour of leisure (MRS) is more than you can get from working an hour (wage)
- So your optimal choice is to not work at all
- Indifference curve touches the budget constraint at the kink
- Notice the wage w_0 is **lower than the reservation wage w_r**

Discussion

Suppose a person receives a large inheritance, increasing their non-labour income substantially. Using the budget constraint and indifference curve framework, what would you predict happens to their reservation wage, and why?

Comparative Statics

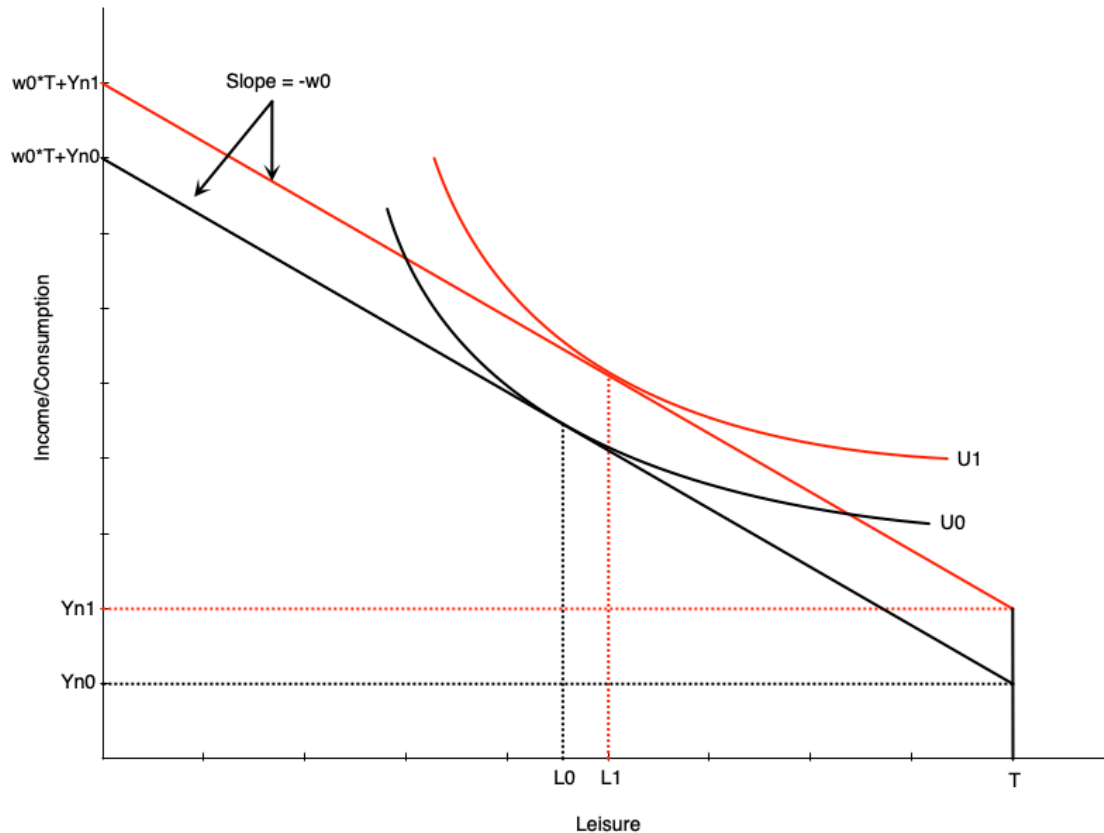
Introduction

- The model can be used to predict how changes in the environment affect work decisions
- Changes could be to the wage or non-labour income
- Often these arise because of policy changes
 - Introduction or increase in welfare payment
 - Wage subsidy
 - Tax credits
 - Employment insurance
 - Child care
- We can examine these change with our model

Increase in Non-Labour Income

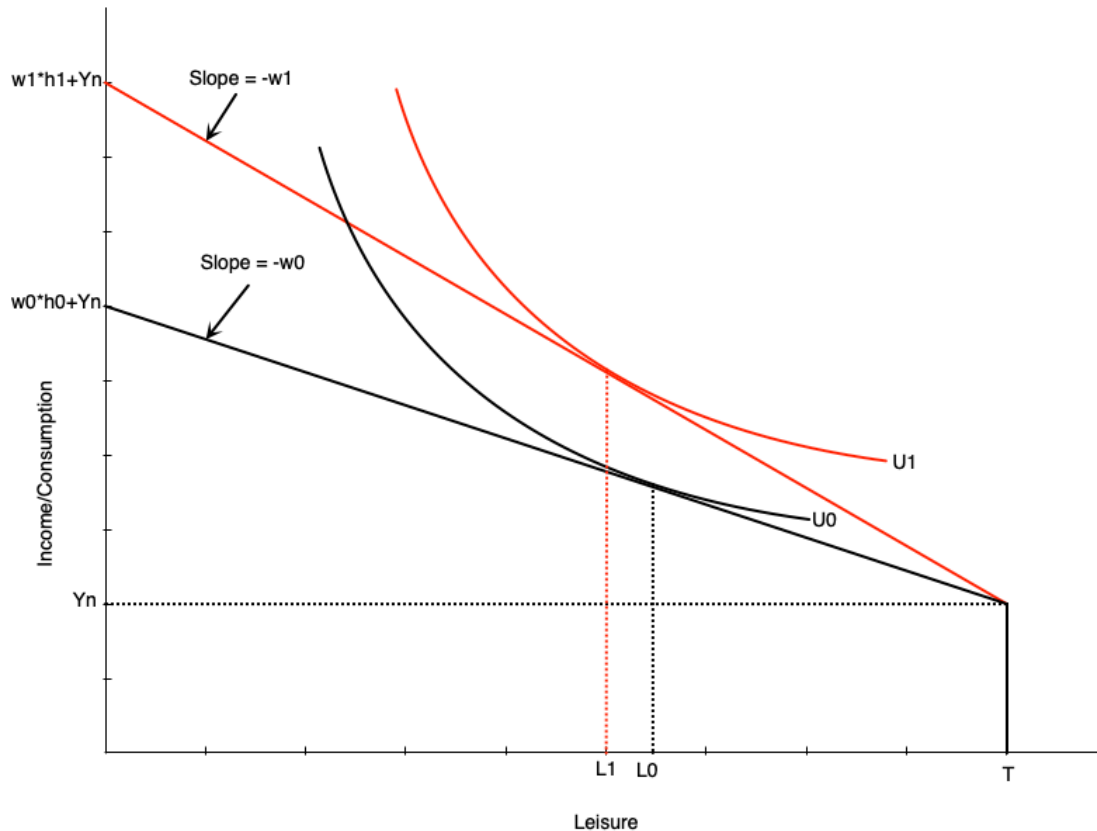
- Suppose that individuals receive an increase in non-labour income
 - Could be from a government transfer program
- How does this affect optimal work hours?
- Depends on whether leisure is a normal or inferior good
 - Normal good: leisure increases when non-labour income increases
 - Inferior good: leisure decreases when non-labour income increases
- Generally economists think of leisure as normal

Increase in Non-Labour Income



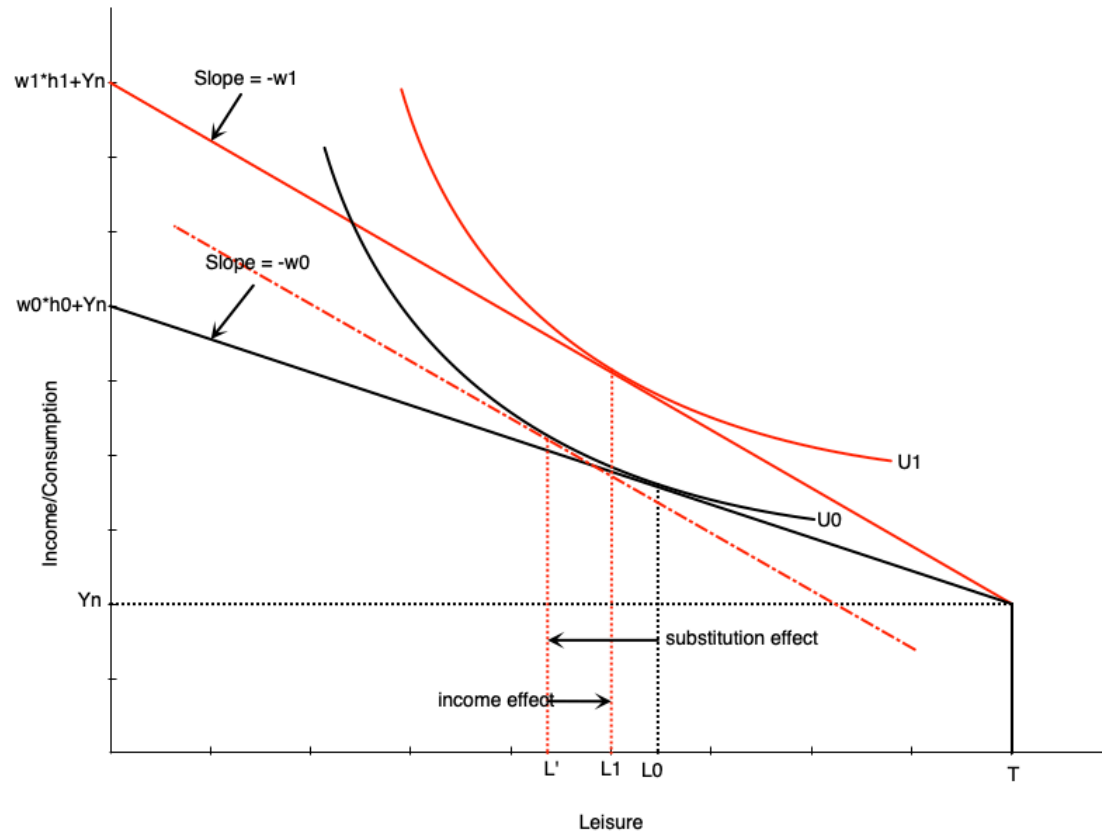
- Graph shows an increase in non-labour income from Y_{n0} to Y_{n1}
- Budget line shifts up vertically but parallel
 - No change in slope because wage is the same
- If leisure is a normal good, optimal leisure increases from L_0 to L_1
- Means work hours decrease by the same amount
- Consumption also increases
- This illustrates a pure **income effect**
 - Increases in income increase demand for normal goods

Increase in the Wage



- If the wage changes, the budget constraint pivots
- In graph to the left, the wage increases from w_0 to w_1
- The slope becomes steeper
- Full income also increases because working all hours earns more
- Graph is drawn such that leisure falls from L_0 to L_1 at the new wage rate
- There are two effects underlying this change
 - Substitution effect
 - Income effect

Increase in the Wage

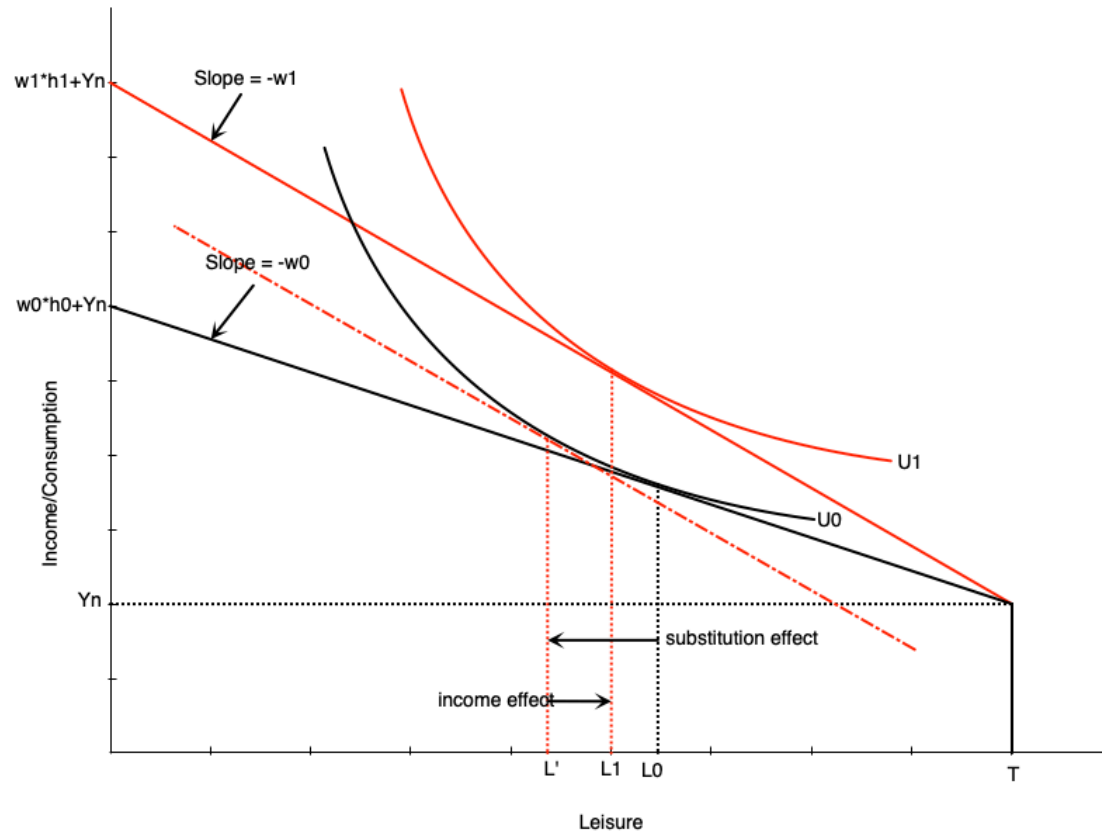


! Key Definition

Substitution Effect: change in leisure when wage changes but utility is held constant

- When wage increases, leisure becomes more expensive
- People substitute away from leisure and towards consumption
- To measure this, draw a hypothetical budget line with the new slope but tangent to the original indifference curve
- Difference in leisure measures substitution effect

Increase in the Wage

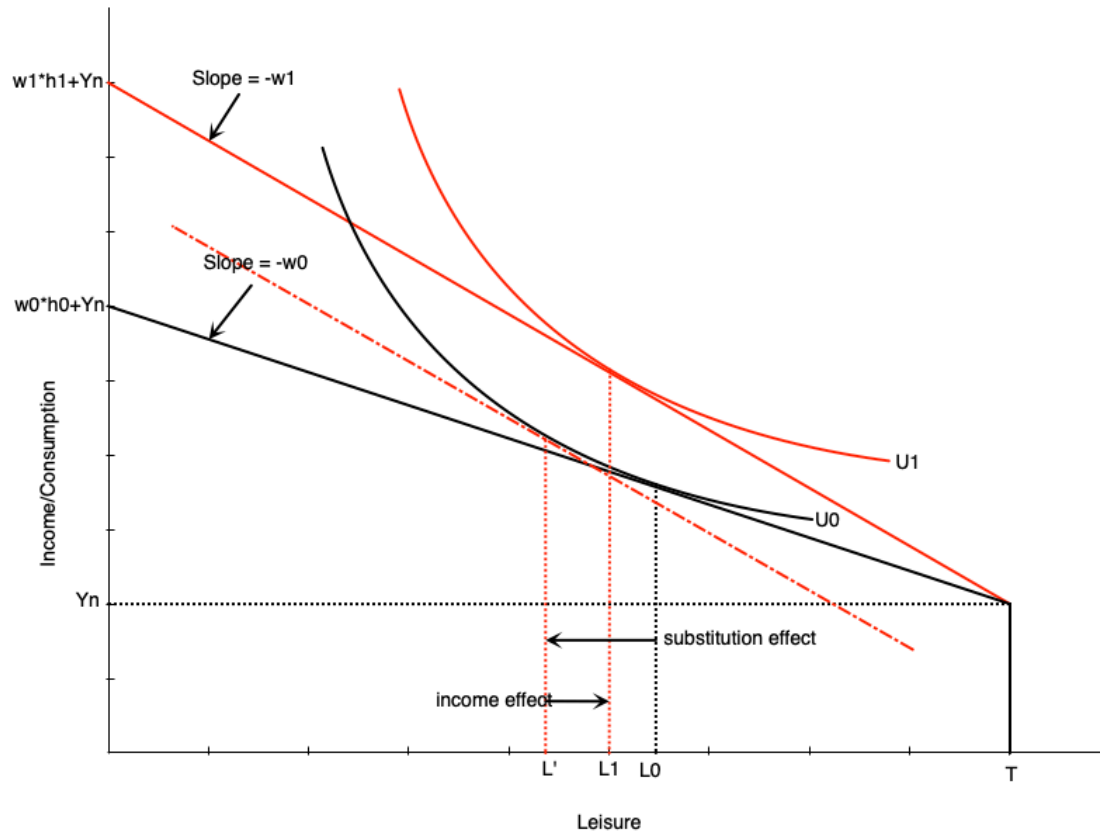


! Key Definition

Income Effect: change in leisure when income changes but wage is held constant

- When wage increases, workers become richer at same hours of work
- Want to consume more of all normal goods
- To measure this, move from hypothetical budget line to new budget line
- Difference in leisure measures income effect

Increase in the Wage



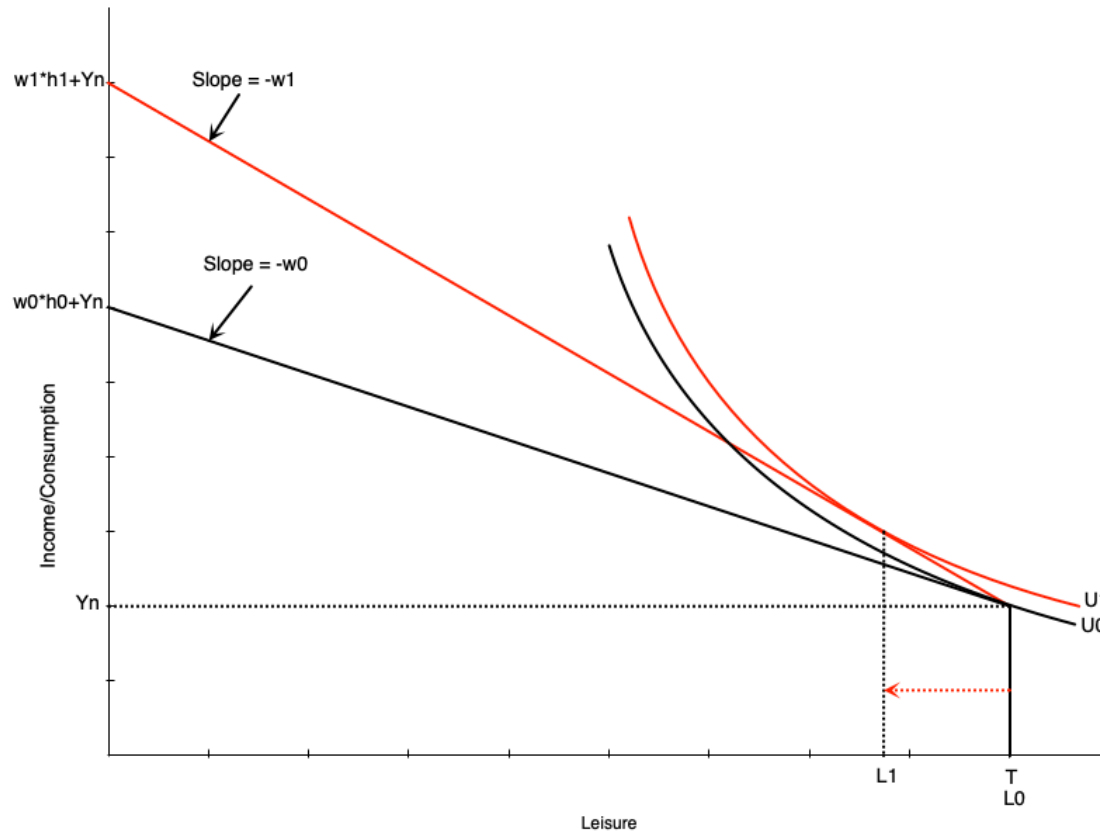
- The income and substitution effects move in opposite directions
- For a wage increase
 - Substitution effect encourages more work (less leisure)
 - Income effect encourages less work (more leisure)
- The overall effect on work hours depends on which effect is stronger
- Graph on the left shows a stronger substitution effect

Evidence from Taxi and Uber Drivers

- Theory will not say which effect wins, so we need workers who really do pick their hours
 - The **self-employed** do, which is why cab drivers keep turning up here
- A cold, rainy day in New York is a high-wage day — is it a good day to knock off early?
- Early studies said yes: hours fell when returns rose, so the **income effect** was winning
 - But they built the wage by dividing earnings by hours, which biases the estimate
- Farber redid it on complete records of New York taxi trips, 2009 to 2013
 - Fix the wage measure and the elasticities turn positive — better day, longer hours
- Uber is a cleaner test, because **surge pricing** moves the wage hour by hour
 - Chen and coauthors find very large short-run elasticities, a strong **substitution effect**
- Source: Farber (2015); Chen et al. (2019)

Increase in the Wage

- Changing the wage can also affect **participation**
- Recall that workers do not work if the wage is below their **reservation wage**
- If an increase in the wage moves it above the reservation wage, they will **start working**
- Graph to the left shows how this would happen



Think About It

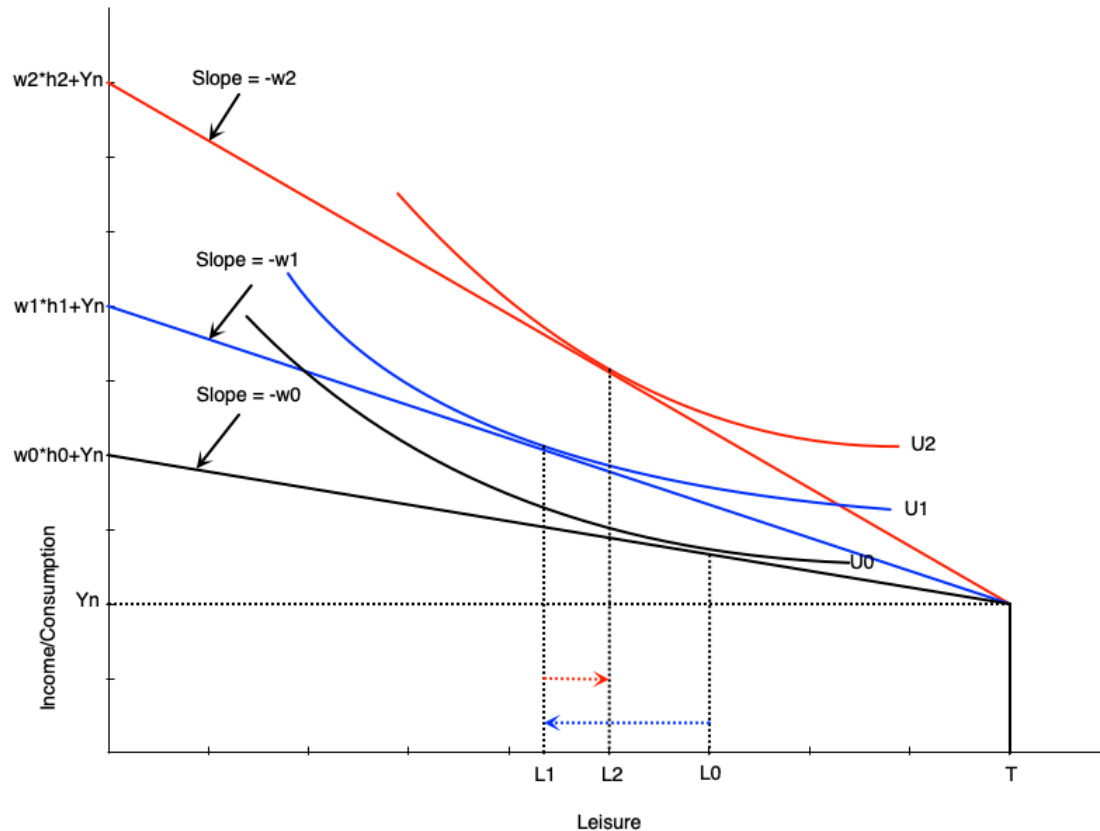
A worker currently earning \$20/hour gets a raise to \$25/hour and decides to work fewer hours per week. Which effect – income or substitution – must be dominant for this worker? What does this tell you about how they value leisure relative to consumption at the margin?

The Individual Labour Supply Curve

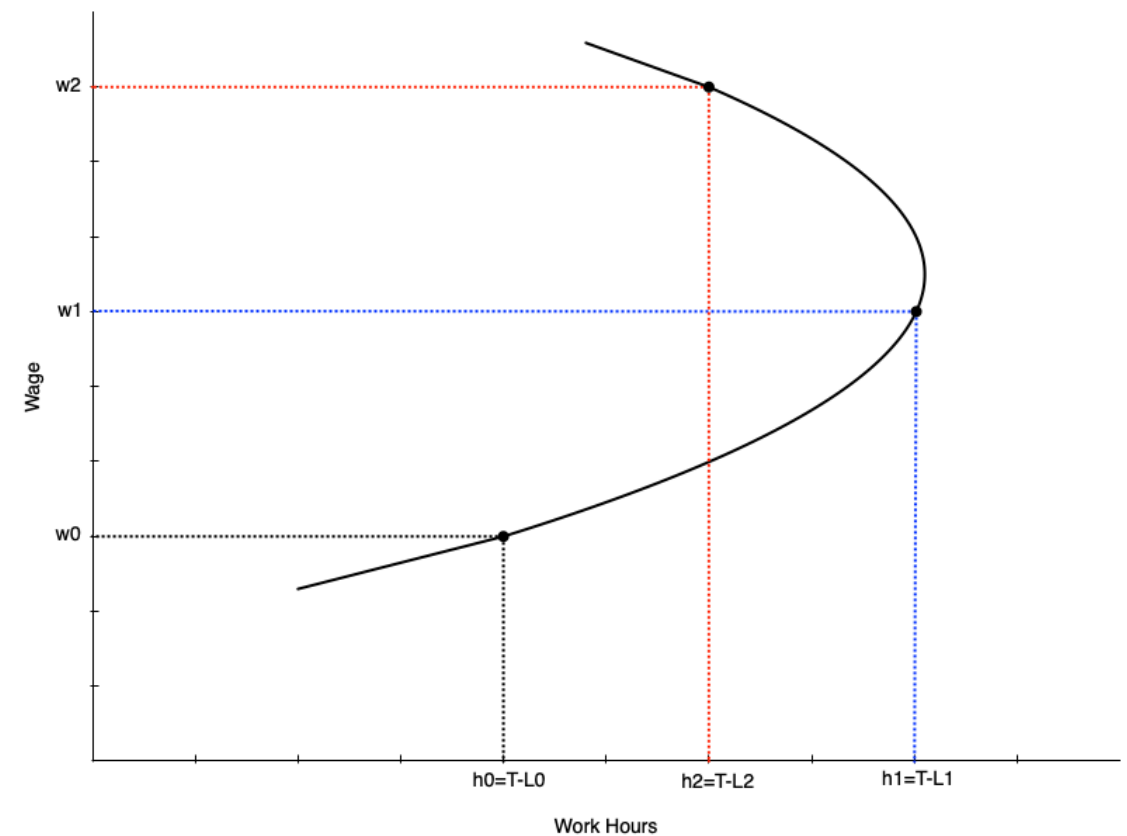
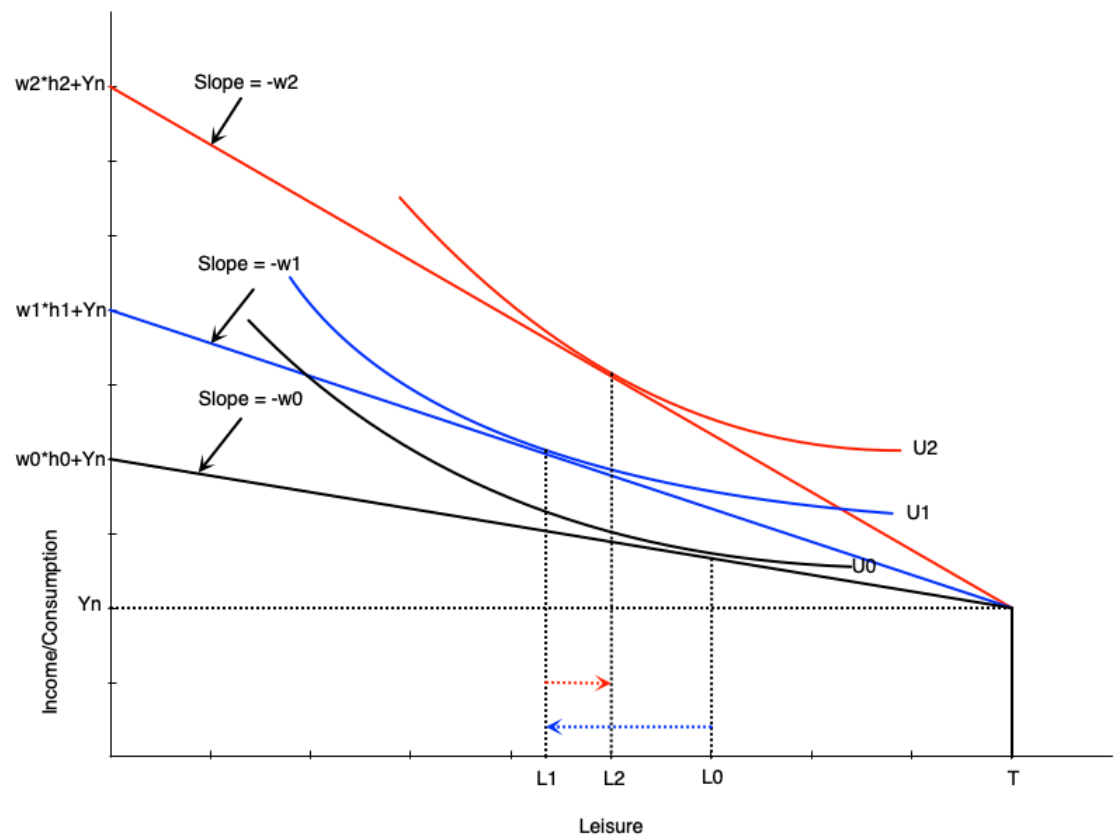
- The **labour supply curve** shows the relationship between the wage rate and hours worked
- It is derived from the consumer optimum at different wage rates
- We will see that the labour supply curve can be **backward bending**
 - It is **upward sloping** when the substitution effect is stronger
 - It is **downward sloping** when the income effect is stronger
 - The curve tends to bend backwards at higher wage rates

The Individual Labour Supply Curve

- Suppose wage goes from w_0 to w_1 to w_2
- At w_0 , work hours are $h_0 = T - L_0$
- At w_1 , work hours increase to $h_1 = T - L_1$
 - substitution effect stronger
- At w_2 , work hours decrease to $h_2 = T - L_2$
 - income effect stronger



The Individual Labour Supply Curve



The Individual Labour Supply Curve

- The text runs the numbers for one person with \$10 of non-labour income

Wage	Hours/day	Earnings	Total income
\$6	0	\$0	\$10
\$8	8	\$64	\$74
\$10	12	\$120	\$130
\$14	10	\$140	\$150

- At \$6 the wage sits below the \$7 **reservation wage**, so hours are zero
- From \$8 to \$10 the **substitution effect** dominates and hours rise
- At \$14 the **income effect** dominates and the curve **bends back**

Summary

- We have used the labour supply model to examine changes in the wage
- For people participating, wage changes alter leisure and work hours
- If the wage goes up then
 - Work hours go up if the **substitution effect** is strongest
 - Work hours go down if the **income effect** is strongest
- For non-participants, a wage increase can induce them to enter the labour force
 - If the wage goes above their **reservation wage**
- The labour supply curve maps different wages to work hours
- It slopes up at lower wages, but can **bend backwards** at higher wages

Discussion

Why might we observe that high-income professionals (doctors, lawyers, executives) often work very long hours, even though the backward-bending supply curve predicts that higher wages should eventually lead to fewer hours worked?

Empirical Evidence

Introduction

- There are many labour economists working on evidence of these theories
- We will look at a few examples of empirical evidence on labour supply
- First we look at evidence on participation
 - The **extensive margin** of labour supply
 - Many studies look specifically at married women
- Then at evidence on work hours
 - The **intensive margin** of labour supply

Participation

- Table below shows participation rates for married women
- Broken down by age, children, education, spousal income
- Each of these demographic factors are related to wage
 - e.g. higher education -> higher wage
- We expect to see that where wage is higher, participation is also higher

Warning

This is not a perfect way to examine this relationship — there could be other related factors that drive participation

Participation

TABLE 2.2 Labour Force Participation Rates of Married Women, Canada 2017

	Percentage of Married Women	Participation Rate ^a	Raw Difference from Base Group ^b	Adjusted Difference from Base Group ^c
All Women, Total		75.3		
<i>Age</i>				
20–24	1.1	89.4	N/A	N/A
25–34	18.9	84.4	–5.0	–3.7
35–44	23.9	85.5	–3.9	–3.0
45–54	24.0	84.8	–4.6	–7.3
55–64	23.8	64.8	–24.6	–22.3
65–69	8.4	27.5	–61.9	–52.6
<i>Age of youngest child, under 18 years old, at home</i>				
No children under 18	60.1	70.9	N/A	N/A
0–5 years old	18.4	77.4	6.5	–13.9
6–9 years old	7.7	84.6	13.7	–5.4
10–15 years old	10.1	87.0	16.1	–0.7
16–17 years old	3.7	86.3	15.4	0.2
<i>Education</i>				
Less than high school graduation	8.2	49.6	N/A	N/A
High school graduate or some post-secondary	23.6	67.9	18.3	12.1
Non-university, post-secondary certificate	30.7	77.8	28.2	18.8
University degree	37.6	83.7	34.1	22.4
<i>Spouse's income</i>				
None (or negative)	18.0	49.7	N/A	N/A
\$1–\$9,999	8.7	62.0	12.3	7.7
\$10,000–\$24,999	9.1	78.6	28.9	17.5
\$25,000–\$49,999	18.2	82.3	32.6	18.4
\$50,000–\$74,999	17.1	87.1	37.4	21.0
\$75,000–\$99,999	12.4	86.3	36.6	18.9
\$100,000–\$149,999	10.7	84.2	34.5	17.1
Over \$150,000	5.7	74.1	24.4	7.4

Elasticity of Labour Supply

! Key Definition

Elasticity of labour supply: the percentage change in labour supply from a 1% change in the wage

- Measures how responsive work hours are to changes in the wage
- There are different ways of measuring elasticity
 - **Uncompensated Elasticity:** measures total change in work hours from a wage change
 - Includes both income and substitution effects
 - Effect is theoretically ambiguous
 - **Compensated Elasticity:** measures change in work hours after removing income effect
 - Isolates the substitution effect
 - Should be **positive**

Elasticity of Labour Supply

TABLE 2.3 **Estimated Elasticities of Labour Supply**

Sex	Uncompensated (Gross, Total) Wage Elasticity of Supply	Compensated (Substitution) Wage Elasticity of Supply	Income Elasticity of Supply
Both sexes	0.0 to 0.2	0.1 to 0.3	−0.1 to 0.0
Men and single women	−0.1 to 0.2	0.1 to 0.3	−0.1 to 0.0
Married women	0.1 to 0.3	0.2 to 0.4	−0.1 to 0.0

NOTES: The uncompensated elasticity represents the elasticity for the choice of hours to work, conditional on working.

SOURCE: Adapted from Table 2 of McClelland and Mok (2012), in their review of U.S. studies for the Congressional Budget Office.

Elasticity of Labour Supply

- The text collects a range of estimates from a review of the literature

Group	Uncompensated	Compensated	Income
Men and women	0.0 to 0.2	0.1 to 0.3	−0.1 to 0.0
Men and single women	−0.1 to 0.2	0.1 to 0.3	−0.1 to 0.0
Married women	0.1 to 0.3	0.2 to 0.4	−0.1 to 0.0

- Rows split by [marital status](#), not simply by gender
 - Men and single women are assumed to decide on their own
 - Married women's choices are tied to a spouse's, and to entry costs like [child care](#)
- Estimates are [inelastic](#) throughout — well under 1 in absolute value
- [Compensated elasticity](#) is positive everywhere, as theory requires
- Source: McClelland and Mok (2012), for the Congressional Budget Office

Elasticity of Labour Supply

- Three generalizations come out of this literature

Note

1. Overall supply for men and women is **slightly upward sloping**
 2. For men it may be **slightly backward bending**
 3. For women it is **more strongly forward sloping**
- Point 2 is the **backward-bending** case we built earlier
 - A negative uncompensated elasticity means the income effect wins
 - The effect is small and could plausibly be zero
 - Women's stronger response is a bigger substitution effect

Elasticity of Labour Supply

- Two more generalizations, both about who and when

Note

4. Married women's elasticities have **fallen substantially** since the 1980s
5. **Low-income workers** are more elastic than high-income workers

- Evidence on the decline: Blau and Kahn (2007), Dostie and Kromann (2013), Morissette and Hou (2008)
- Men's elasticities went the other way, **rising slightly**

Warning

These numbers describe responses in the early 2000s, and magnitudes vary a lot across studies — use them with caution

Applications

Introduction

- We can use the model to analyze various situations faced by workers
- In this section we will look at
 - Added worker effects
 - Side hustles (holding multiple jobs)
 - Overtime
- The list is not exhaustive
- The same reservation wage logic explains [discouraged workers](#), which we covered in Chapter 2
- In the next chapter we will look at government policies

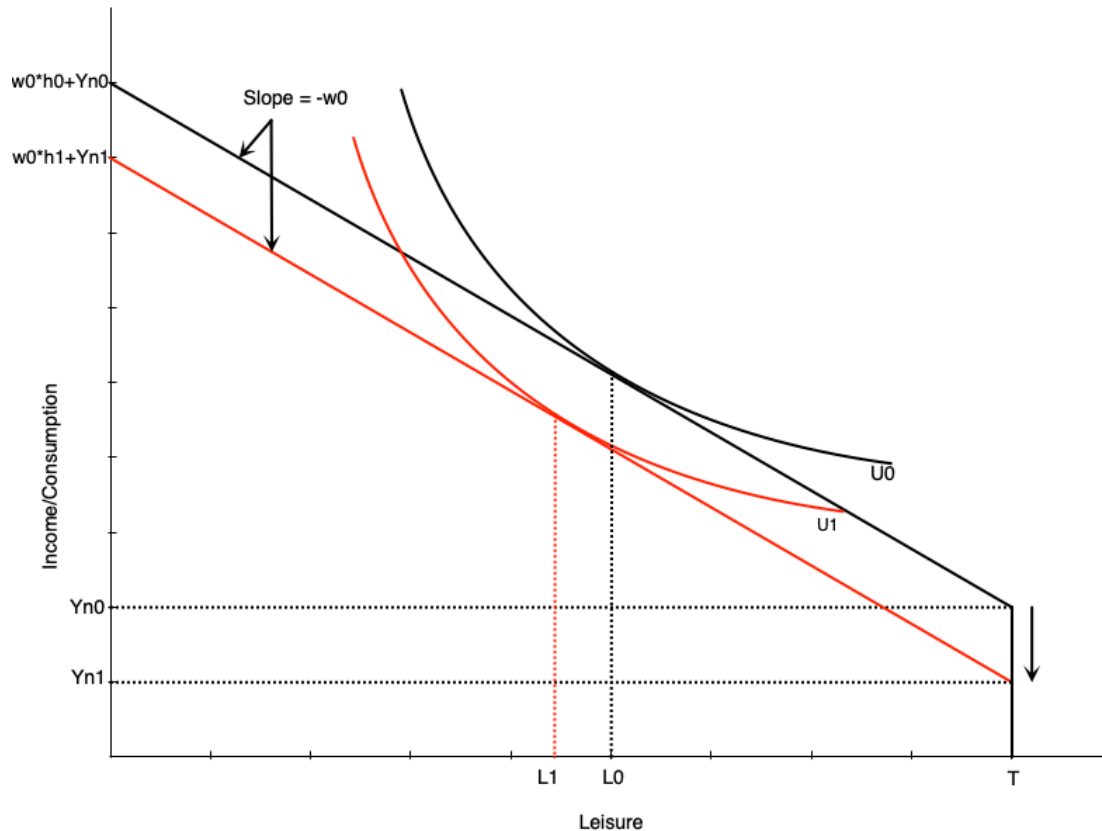
Added Worker Effect

Key Definition

Added worker effect: occurs when a negative income shock to a family leads to increased labour supply from secondary earners

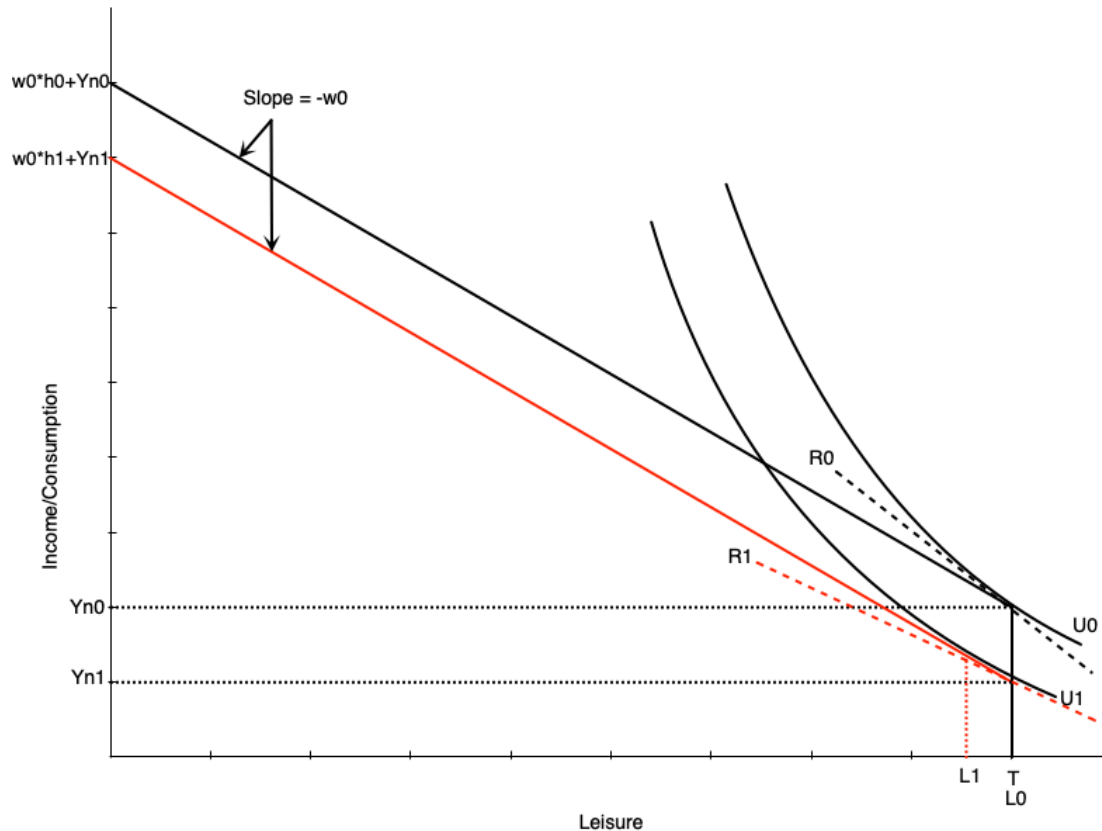
- e.g. husband loses job, wife enters labour force or increases work hours
- Explicitly considers the family unit rather than treating labour supply as purely individual
- Spousal income is treated as a person's non-labour income
- In the model we can look at what happens when this amount falls

Added Worker Effect



- When non-labour income falls, the budget constraint shifts down
- If leisure is a normal good, optimal leisure falls from L_0 to L_1
- Work hours increase from h_0 to h_1
- Means that the spouse increases work hours to compensate for lost family income

Added Worker Effect



- If the spouse was not already working, the fall in income can **induce participation**
- Happens because the fall in income reduces the **reservation wage**
 - If the wage is now above the reservation wage, they will start working
- Graph to the left shows how this happens
 - The slope of reservation wage R_1 is smaller than R_0 after the drop in non-labour income
 - Person enters the labour market in response because wage is now above reservation wage

Mortgages and Participation

- The added worker effect starts from a shock nobody planned for
- A mortgage runs through the same channel, except the household signed up for it
 - The payment is committed in advance, outside this month's choices
 - So a larger payment behaves like **lower non-labour income**
- That pushes the **reservation wage** down and can pull a spouse into work
- Fortin sorted Canadian women in 1986 by the household's mortgage position
 - The closer payments sat to the bank's limit, the sharper the rise in participation
 - As large an effect as two preschool children, pointing the other way
- Del Boca and Lusardi found the same in Italy when mortgage access widened
- The caveat is that buying the house was itself a choice
- Source: Fortin (1995); Del Boca and Lusardi (2003)

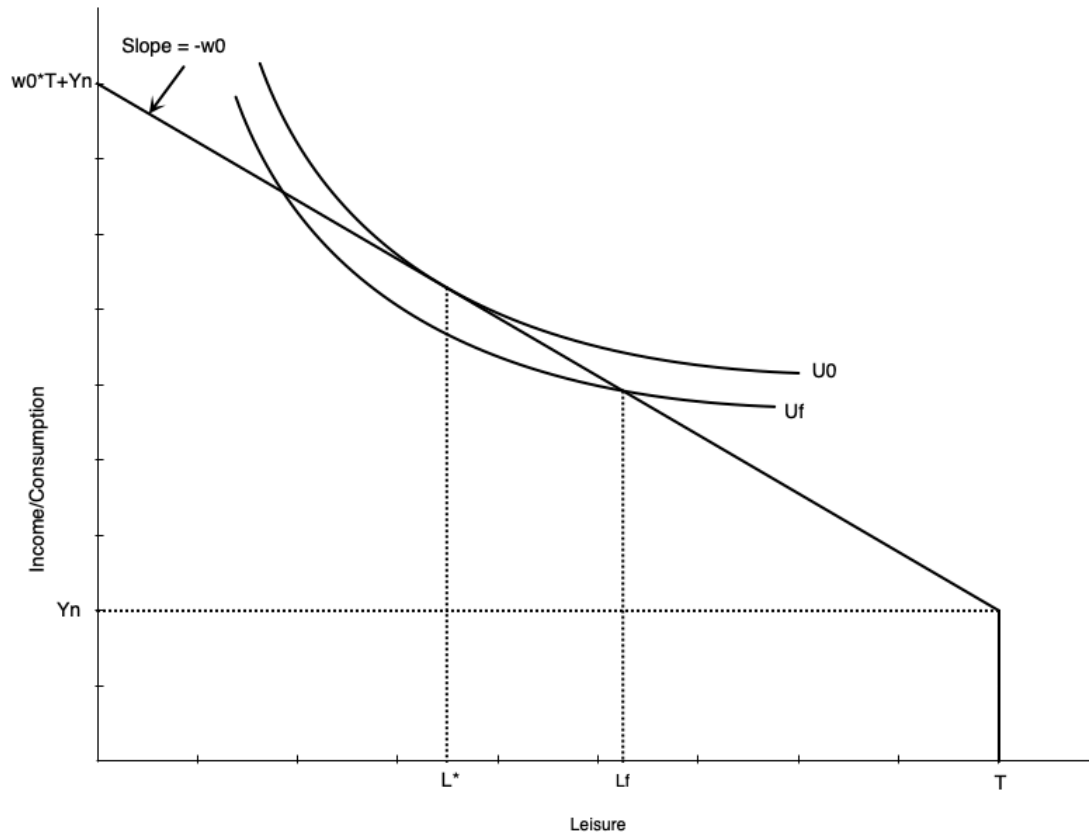
Rigid Schedules and Flexible Work Hours

! Key Definition

Side hustle: a second job with flexible hours, usually at a lower wage, taken because hours at the main job are fixed

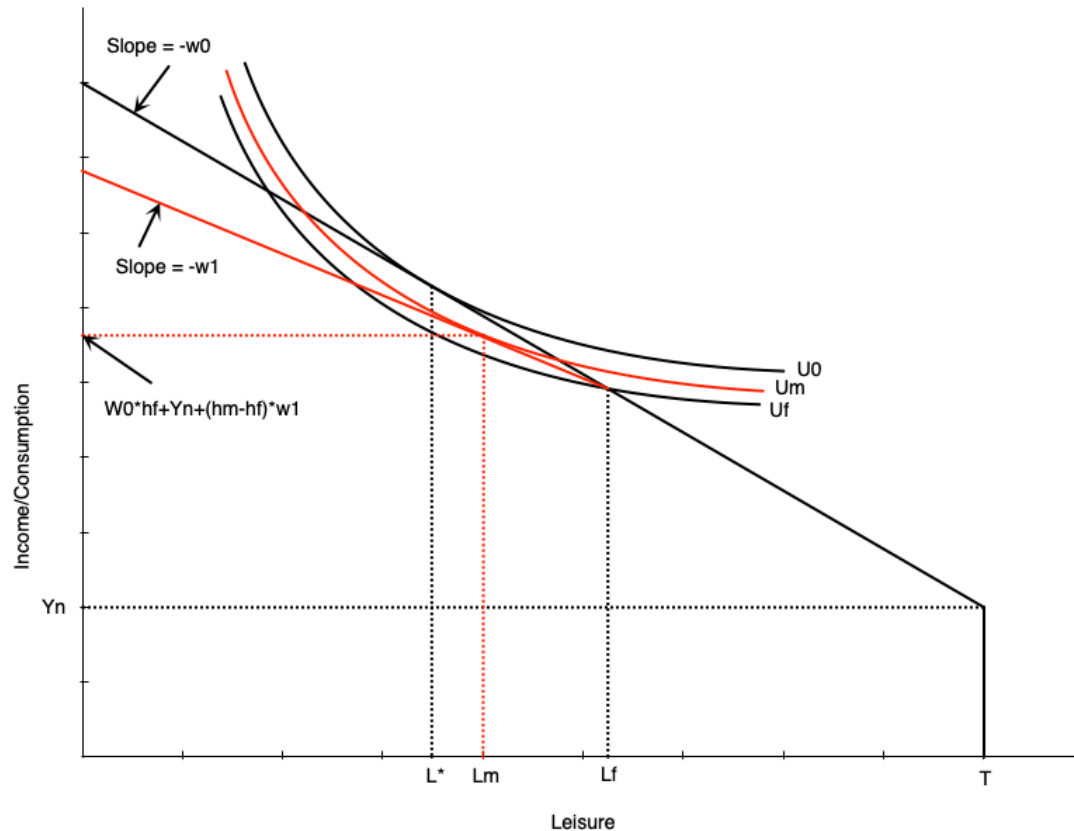
- The older term for the same thing is **moonlighting**
 - From a time when main jobs ran 9-5 and extra work happened after dark
- Hours really are fixed for a lot of people
 - In the 2024 LFS, over a third of working Canadians report exactly 40 or 37.5 hours a week
- Someone who wants more hours than the main job allows is **underemployed**

Rigid Schedules and Flexible Work Hours



- In this graph people ideally would work $h^* = T - L^*$ hours
 - Maximizes utility subject to budget constraint
- Can only work $h_f = T - L_f$ hours at their main job
 - Employer does not allow more hours
- This puts them on a **lower indifference curve** U_f
- The outcome is not optimal

Rigid Schedules and Flexible Work Hours

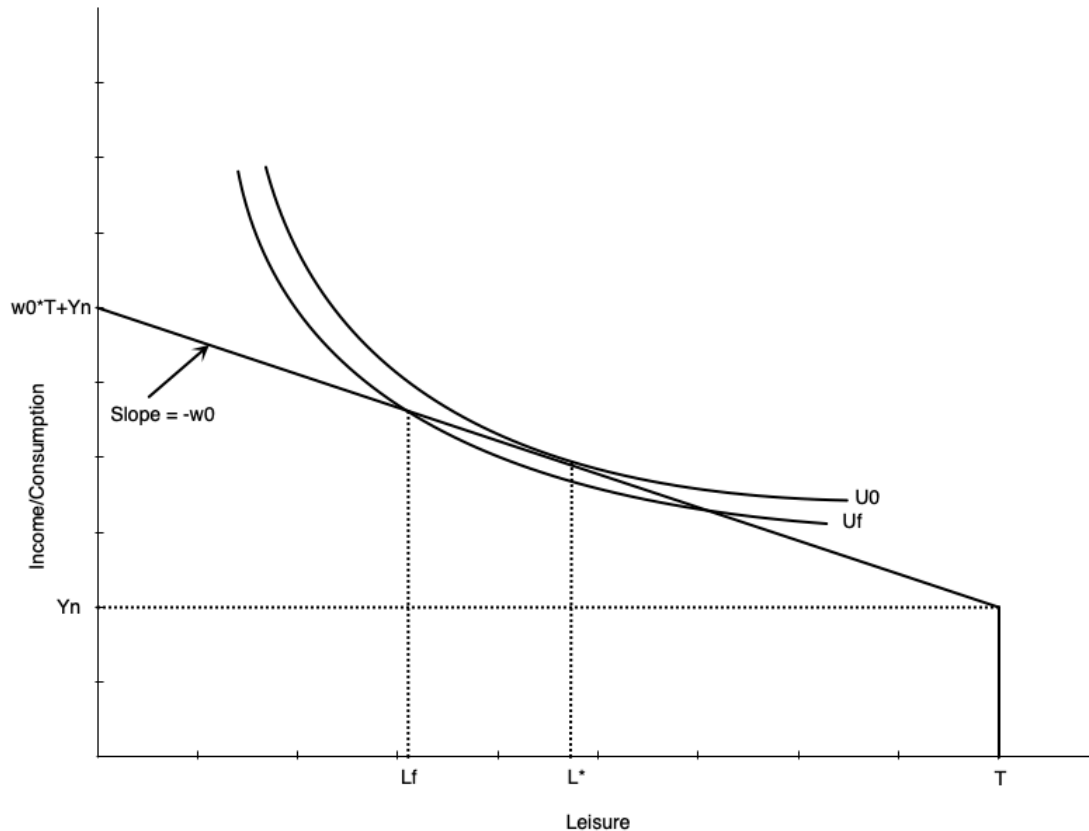


- Now imagine they can take a second job at a lower wage rate
- The budget constraint pivots out from the fixed hours point
- Beyond those hours, the wage falls
- Allows worker to access **higher utility curve**
 - They can increase hours worked
 - But not as much as if they could extend hours in main job

Think About It

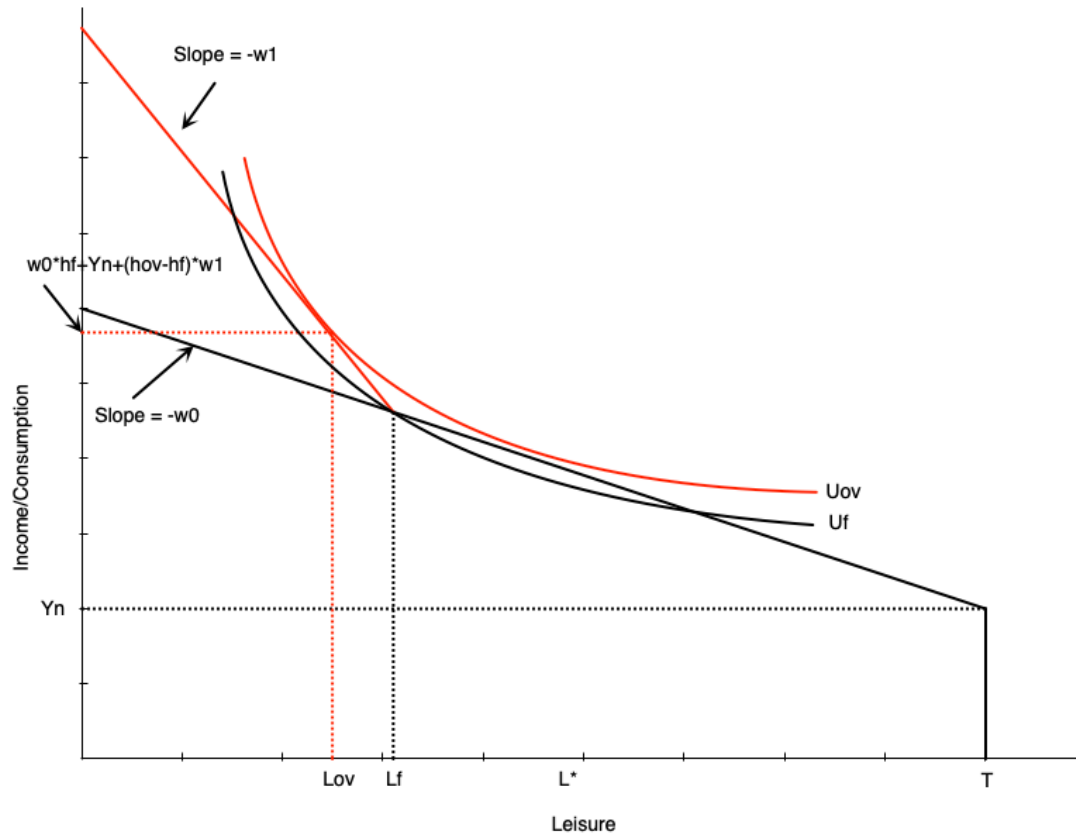
During the COVID-19 pandemic, many households experienced both job losses (added worker effect) and falling wages in available jobs (discouraged worker effect) at the same time. What would the model predict about labour force participation for secondary earners in these households, and why might the two effects work against each other?

Overtime



- In this graph, people would ideally work $h^* = T - L^*$ hours
 - Maximizes utility subject to budget constraint
- But employer requires them to work $h_f = T - L_f$ hours
 - Employer does not allow fewer hours
- Puts them on a **lower indifference curve** U_f
- They are **overemployed** — working more than they would choose at that wage

Overtime



- If the employer offers **overtime wages**, the budget constraint pivots out from the fixed hours point
 - Beyond those hours, the wage increases from w_0 to w_1
- Allows worker to access **higher utility curve**
- Also increases hours worked even though they are initially overemployed
 - The higher wage induces a **substitution effect** to work more
 - There is a small **income effect** that only applies to the extra hours
- The alternative — paying more for *all* hours — is Review Questions 7 and 8

Summary

Summary

- We have explored the [labour-leisure model](#) for labour supply
- The model is based on utility maximization subject to a budget constraint
- The model can explain both participation and work hours decisions
- Changes in non-labour income and the wage affect work decisions
- The labour supply curve can be [backward bending](#)
- The model can be used to analyze various situations faced by workers
 - Added worker effects
 - Side hustles
 - Overtime
- Next chapter we will analyze government policy within this model

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